

End-to-End Process • Record-to-Report (R2R)

Process Diagram

PCF-derived swim lanes • Pattern types color-coded • M3 HITL design intent at each step • Exception flows — colored left border

Pattern: **Decision (80% H)** • **Knowledge (65% H)** • **Document (40% H)** • **Transaction (35% H)** • **Exception (82% H)**

GL / Accounting PCF 11.1	Financial Reporting PCF 11.2	Management / Controller PCF 11.3	Auditor / Regulator External Participant
11.1.1 Process Journal Entries TRANSACTION M3: 35%	11.2.1 Prepare Financial Statements DOCUMENT M3: 40%	11.3.1 Prepare Management Reports DOCUMENT M3: 40%	Ext Receive Financial Statements TRANSACTION M3: 35%
11.1.2 Process Intercompany Transactions TRANSACTION M3: 35%	11.2.2 Prepare Regulatory Filings DOCUMENT M3: 40%	11.3.2 Perform Variance Analysis KNOWLEDGE M3: 65%	Ext Conduct Audit / Review DECISION M3: 80%
11.1.3 Perform Period-End Close DECISION M3: 80%	11.2.3 Manage External Reporting KNOWLEDGE M3: 65%	11.3.3 Perform FP&A KNOWLEDGE M3: 65%	Ext Issue Audit Opinion DOCUMENT M3: 40%
11.1.4 Reconcile Accounts DECISION M3: 80%	11.2.2 → External (Auditor / Regulator)	11.3.4 Review and Approve Reports DECISION M3: 80%	Ext → Financial Reporting (11.2)
11.1.5 Manage Fixed Assets TRANSACTION M3: 35%	11.2.3 Reporting Exception EXCEPTION M3: 82%		
11.1.6 Close Accounting Period DECISION M3: 80%			
11.1.1 Journal Entry Exception EXCEPTION M3: 82%			

Value Chain Insight — 5 Decision gates (80% H) carry financial authority — period-end close, account reconciliation, and period close are irreducibly human. 6 Transaction steps are AI absorption targets — journal entries, intercompany, and fixed assets. 4 Knowledge steps (65% H) represent the AI-augmented layer. 2 Exception flows (82% H) require human resolution.